

34 Insolvency and closure

4 primary questions | Oldest to newest

2026 objectives: 5.3.3

3 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 April 2010 Q5	14 marks
CA1-P2 September 2014 Q7	25 marks
CA1-P2 April 2017 Q5	15 marks
CA1-P2 September 2018 Q6	19 marks

CA1-P2 | April 2010 | Q5

Current topic | 14 marks total | Original PDF p3

Related: Ch 26, Ch 23.

5 A defined benefit scheme is being discontinued.

- (i) State the options available for the provision of benefit payments due after the scheme has been discontinued. [3]

The managers of the scheme have proposed that the scheme's benefits will be transferred to an insurance company in exchange for an upfront premium.

- (ii) Discuss the main risks that the insurance company will be taking on. [5]

The managers have received quotes from a number of insurance companies.

- (iii) Explain why the quotes from the insurance companies may differ. [6]
[Total 14]

CA1-P2 | September 2014 | Q7

Current topic | 25 marks total | Original PDF p4

Related: Ch 26, Ch 30.

- 7** A defined benefit pension scheme is in the process of being wound up following the insolvency of the sponsoring company. The scheme was in surplus at the time of the insolvency. The scheme's membership comprises about 30% pensioners who have all retired in the last three years and about 70% deferred members who on average have twenty years until they reach retirement age.

- (i) Discuss the issues and choices that will need to be considered by the scheme's trustees. [11]

An insurance company has been approached to provide the benefits exactly as in the scheme rules in exchange for a single initial premium.

- (ii) Discuss the risks that the insurance company would be taking on. [8]

- (iii) Outline the management tools that could be used to control these risks. [6]
[Total 25]

CA1-P2 | April 2017 | Q5

Current topic | 15 marks total | Original PDF p3

Related: Ch 22, Ch 23.

- 5** A country is designing a new scheme to protect policyholders in the event that a provider of benefits becomes insolvent or is unable to meet its capital requirements.
- (i) Describe how the costs of the protection scheme could be met. [5]
 - (ii) Discuss the issues that need to be considered in designing the protection scheme which will need to provide a balance between the beneficiaries' interests and the costs of the protection scheme for each of the following:
 - (a) a range of long-term term assurance contracts
 - (b) savings contracts providing a minimum guaranteed annual return
 - (c) compulsory medical insurance contracts
 - (d) a staff defined benefit scheme

[10]

[Total 15]

CA1-P2 | September 2018 | Q6[Current topic](#) | [19 marks total](#) | [Original PDF p4](#)

September 2018 main paper, recovered from the supplied archive; the extracted folder had contained the spare paper under this date. Related: Ch 15.

- 6**
- (i) List the circumstances that could lead to a benefits scheme becoming discontinued. [2]
 - (ii) List the options that exist for the provisions of accrued benefits if a benefits scheme is discontinued. [2]
 - (iii) Discuss the advantages and disadvantages of each option in part (ii) to a member. [5]
 - (iv) Outline the factors that will influence the level of benefits payable to members of a discontinued scheme. [4]
 - (v) Discuss how the scheme's investment strategy may change following discontinuance. [6]
- [Total 19]